L0 – ENTERPRISE ENABLERS (Cross-Cutting)

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Document Hierarchy

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Level 1 – Policy
Level 2 – Procedure
Level 3 – Work Instruction
Level 4 – Forms / Templates
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Contents

L0 – ENTERPRISE ENABLERS (Cross-Cutting) 1
L_0_11_Finance_Accounting 4
11.0 Finance & Accounting Framework Overview 4
Purpose 4
Scope 4
11.1 Financial Governance Policy 4
11.1.1 Financial Authority & Delegation Matrix 5
Objective 5
WBS Structure 5
SIPOC – Financial Authority Process 5
RACI 5
KPIs 5
SAP Mapping 5
Forms 6
11.2 Budgeting & Financial Planning 6
11.2.1 Annual Budgeting Process 6
WBS 6
BPMN Flow (Logical) 6
SIPOC – Budget Cycle 6
KPIs 6
Templates 7
11.3 Accounts Payable (AP) 7
11.3.1 Procure-to-Pay (P2P) Process 7
SIPOC 7
BPMN Logical Flow 7
Controls 7
RACI 8
KPIs 8
Forms 8
11.4 Accounts Receivable (AR) 8
11.4.1 Order-to-Cash (O2C) 8
SIPOC 8
Process 8
KPIs 9
Forms 9

11.5 Treasury & Cash Management 9
Scope 9
SIPOC 9
KPIs 9
SAP Modules 10
Forms 10
11.6 Financial Reporting 10
11.6.1 Monthly Close Procedure 10
Steps 10
KPIs 10
Reports 10
11.7 Tax & Regulatory Compliance 11
Scope 11
Controls 11
Forms 11
11.8 Internal Controls & Financial Risk 11
Risk & Control Matrix (Sample Extract) 11
Financial Process Architecture Layer 12
Full Finance Document Register 12
Maturity Levels (Scoring 1–5) 12
Next to do 12
Forms and templates 13

L_0_11_Finance_Accounting

(Comprehensive Policy & Procedures Manual Section – RAM Framework Aligned)

This section is structured in your RAM enterprise architecture logic:

- WBS-coded hierarchy
- SIPOC per major process
- BPMN logical flows
- RACI matrix
- KPIs
- SAP system mapping
- Forms & Templates register
- Governance Risk & Control Matrix (aligned with COSO & ISO 37301 principles)

11.0 Finance & Accounting Framework Overview

Purpose

Ensure:

- Financial integrity
- Regulatory compliance
- Capital protection
- Liquidity optimization
- Transparent reporting
- Strategic financial planning

Scope

Applies to:

- All subsidiaries
- All business units
- All cost centers
- All CapEx & OpEx activities
- All revenue streams

11.1 Financial Governance Policy

11.1.1 Financial Authority & Delegation Matrix

Objective

Define financial decision rights and approval thresholds.

WBS Structure

```
11.1 Financial Governance
  11.1.1 Financial Authority Matrix
    11.1.1.1 Approval Limits
    11.1.1.2 Dual Signature Rules
    11.1.1.3 Emergency Expenditure Protocol
  11.1.2 Budget Governance
  11.1.3 Financial Ethics & Anti-Fraud
```

SIPOC – Financial Authority Process

Supplier	Input	Process	Output	Customer
Department Head	Budget request	Review & validate	Approved request	Finance
Finance	Financial data	Control & verify	Payment instruction	Bank
CEO/Board	Strategic direction	Final approval	Authorized spend	Organization

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RACI

Activity	Dept Head	Finance	CFO	CEO	Board	Notes
Prepare Budget	R	C	A	I	I	
Approve > Threshold	I	C	R	A	C	
Emergency Spend	R	C	A	A	I	

KPIs

- % unauthorized expenditures (Target: 0%)
- Budget variance ratio (<5%)
- Approval cycle time
- Fraud incidents detected

SAP Mapping

- SAP FI (Financial Accounting)
- SAP CO (Controlling)
- SAP Fiori approval workflows

- SAP GRC

Forms

- F-11-01 Budget Request Form
- F-11-02 Capital Approval Form
- F-11-03 Emergency Expense Form
- F-11-04 Delegation Matrix Register

11.2 Budgeting & Financial Planning

11.2.1 Annual Budgeting Process

WBS

```
11.2 Budgeting & Planning
  11.2.1 Strategic Financial Planning
  11.2.2 Annual Budget Development
  11.2.3 Forecasting & Rolling Forecast
  11.2.4 Budget Monitoring
```

BPMN Flow (Logical)

1. Strategic Targets Issued
2. Department Budget Submission
3. Finance Consolidation
4. CFO Review
5. Executive Approval
6. Upload to SAP
7. Monthly Variance Tracking

SIPOC – Budget Cycle

Supplier	Input	Process	Output	Customer
Strategy	Revenue targets	Translate to budget	Budget draft	CFO
Operations	Cost estimates	Consolidation	Final budget	Board

KPIs

- Budget accuracy rate

- Forecast accuracy %
- EBITDA variance
- CapEx absorption rate

Templates

- F-11-10 Annual Budget Template (Excel linked to SAP)
- F-11-11 Rolling Forecast Model
- F-11-12 Variance Analysis Template

11.3 Accounts Payable (AP)

11.3.1 Procure-to-Pay (P2P) Process

SIPOC

Supplier	Input	Process	Output	Customer
Vendor	Invoice	Invoice verification	Payment	Vendor
Procurement	PO	3-way match	Approved invoice	Treasury

BPMN Logical Flow

1. Receive Invoice
2. 3-Way Match (PO, GRN, Invoice)
3. Finance Validation
4. Approval
5. Payment Scheduling
6. Bank Transfer
7. SAP Posting

Controls

- Mandatory PO
- Segregation of duties
- Vendor master verification
- Payment batch approval

RACI

Activity	Procurement	Finance	Treasury	CFO
PO Creation	R	C	I	I
Invoice Check	C	R	I	I
Payment	I	C	R	A

KPIs

- Days Payable Outstanding (DPO)
- Invoice processing time
- Duplicate payment rate (0%)
- % Early payment discounts captured

Forms

- F-11-20 Invoice Intake Log
- F-11-21 Payment Batch Form
- F-11-22 Vendor Master Change Request

11.4 Accounts Receivable (AR)

11.4.1 Order-to-Cash (O2C)

SIPOC

Supplier	Input	Process	Output	Customer
Sales	Contract	Invoice generation	Invoice	Client
Client	Payment	Reconciliation	Cash receipt	Finance

Process

1. Sales Order
2. Delivery Confirmation
3. Invoice Issued
4. Payment Tracking
5. Reconciliation
6. Collection Follow-up

KPIs

- Days Sales Outstanding (DSO)
- Bad debt %
- Collection efficiency ratio
- Aging > 90 days %

Forms

- F-11-30 Credit Approval Form
- F-11-31 Aging Report
- F-11-32 Write-off Authorization

11.5 Treasury & Cash Management

Scope

- Cash forecasting
- Liquidity management
- Banking relations
- FX risk
- Investment management

SIPOC

Supplier	Input	Process	Output	Customer
AR/AP	Cash forecast	Consolidation	Liquidity report	CFO
Banks	Statements	Reconciliation	Cash position	Management

KPIs

- Liquidity ratio
- Cash conversion cycle
- FX exposure %
- Idle cash ratio

SAP Modules

- SAP Treasury
- SAP Cash Management

Forms

- F-11-40 Cash Forecast Template
- F-11-41 Bank Reconciliation Sheet
- F-11-42 FX Exposure Register

11.6 Financial Reporting

11.6.1 Monthly Close Procedure

Steps

1. Cut-off date control
2. Accruals booking
3. Depreciation posting
4. Intercompany reconciliation
5. Trial balance review
6. CFO certification

KPIs

- Days to close (<5 days)
- Adjustment frequency
- Audit findings

Reports

- Balance Sheet
- P&L
- Cash Flow
- Management Dashboard

11.7 Tax & Regulatory Compliance

Scope

- Corporate tax
- VAT
- Withholding tax
- Zakat (if applicable)
- External audit

Controls

- Tax calendar
- Filing verification
- Independent review
- External audit coordination

Forms

- F-11-50 Tax Filing Checklist
- F-11-51 Audit Evidence Log
- F-11-52 Regulatory Compliance Register

11.8 Internal Controls & Financial Risk

Aligned with:

- COSO Internal Control Framework
- ISO 37301 Compliance Management
- Enterprise Risk Management

Risk & Control Matrix (Sample Extract)

Risk	Control	Type	Owner	Frequency
Fraudulent payments	Dual approval	Preventive	CFO	Continuous
Revenue misstatement	Segregation	Preventive	Finance	Monthly
Cash theft	Bank reconciliation	Detective	Treasury	Monthly

Risk	Control	Type	Owner	Frequency
Tax penalty	Filing calendar	Preventive	Tax Manager	Quarterly

Financial Process Architecture Layer

```
L0 - Financial Governance
L1 - Planning & Budgeting
L2 - P2P (AP)
L3 - O2C (AR)
L4 - Treasury
L5 - Reporting
L6 - Compliance
L7 - Controls & Audit
```

Full Finance Document Register

Code	Document
F-11-01	Budget Request
F-11-10	Annual Budget
F-11-20	Invoice Log
F-11-30	Credit Approval
F-11-40	Cash Forecast
F-11-50	Tax Checklist

Maturity Levels (Scoring 1–5)

Level	Description
1	Manual, reactive
2	Basic controls
3	Standardized, SAP integrated
4	Data-driven
5	Predictive & automated

Next to do

- Full BPMN visual diagrams (board-ready)
- Complete SAP configuration mapping
- Full COSO Control Matrix expanded (100+ risks)
- Finance organizational structure
- Financial policy formatted as official manual PDF
- Integrated Finance Dashboard Architecture
- Integration with Risk_Compliance (07) and Performance (06)

Forms and templates

End of document